



Dear Clients,

Given the persistent uncertainty surrounding key economic indicators, the Federal Reserve has thus far maintained a cautious stance on interest rate cuts. **The recent US Producer Price Index (PPI) for July** doesn't make that any easier.

Nevertheless, we see this as an opportunity. We think the Fed's eventual focus on the broader economic picture, including the labor market, will **ultimately lead to 25bps rate cuts in September and October**.

All of this could put **greater scrutiny on the Jackson Hole Economic Symposium next week** (August 21-23) as market players scour Fed Chair Jerome Powell's comments for potentially market-defining signals. However, we think the odds of Powell taking a strong stance are fairly low.

ETH's rally remains a key market focus, after breaching its highest levels against USD since 2021. Since the start of August, the top ETH DATs have purchased over 795k ETH (US\$3.6B) as these entities now control over 2% of the total ETH supply. Spot ETH ETF inflows have also been massive this week (\$2.27B).

The deadline for 13-F filings (2Q25) was yesterday (August 14) for all firms managing more than \$100M. The data seems to suggest that retail buyers were behind the massive net inflows for both spot BTC and ETH ETFs in the US last quarter, despite an increase in the number of institutional holders of these vehicles.

The BTC-dominance breakdown we flagged last month has followed through—down ~9% since July—**validating the rotation signal and ushering in broad alt outperformance**. See our latest [Monthly Outlook: Altcoin Season Cometh](#) published on August 14 for more details.

Circle and Stripe are planning to launch L1s (Arc and Tempo, respectively), primarily to support stablecoin payments. We think historical analogs suggest that durable market-share rotations follow shifts in comparative advantage, not branding. From that perspective, the implications of this announcement for existing L1s may not be as readily apparent as one might assume.

Best,
The Coinbase Institutional Team

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